**BEFORE THE NEW YORK STATE**
**PUBLIC SERVICE COMMISSION**

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| Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service | ) | CASE 23-G-0225 |
| Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service | ) | CASE 23-G-0226 |

# STATEMENT IN OPPOSITION OF THE JOINT PROPOSAL BY ALLIANCE FOR A GREEN ECONOMY

May 1, 2024

## I. Statement of Opposition

Alliance for a Green Economy ("AGREE") is a public interest intervenor, which has participated in most major rate cases in New York since 2017 in order to ensure utility rates are consistent with New York state energy and climate policy and the public interest. We advocate for a just, affordable, and rapid transition to a renewable energy economy that powers clean and healthy heating and cooling in buildings across New York State.

We oppose the Joint Proposal ("JP") filed by National Grid's downstate subsidiaries ("the Companies"), the Department of Public Service Staff ("Staff"), and other parties on April 9, 2024 in the above-referenced proceedings. Although the Joint Proposal contains several provisions that represent incremental improvements over the Companies' initial proposals, we are dismayed by the overall rate increase and, just as importantly, the trajectory of gas utility investments five years after passage of the Climate Leadership and Community Protection Act ("Climate Act").

This Joint Proposal requests that the Commission approve bill increases of $28.90 for the average KEDNY heating customer[1] and $29.85 for the average KEDLI heating customer[2] for rate year 1. Typically, settlement negotiations result in significantly lower bill impacts when compared to the Companies' initial proposals. Yet, the rate year 1 bill increases contained in the Joint Proposal are not much lower than the Companies' initial request of $30.95 per month for average heating customers in KEDNY and $28.52 for average heating customers in KEDLI.[3]

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[1] *See,* JP at Appendix 3, Schedule 4.1, pp 4.
[2] See, JP at Appendix 4, Schedule 4.1, pp 4.
[3] See, KEDNY-KEDLI 2023 Rate Case Filing Letter, Case 23-G-0226, pp 3. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={207AC987-0000-CB86-AEF0-DB01E02D747C}

The major difference between the Companies' initial filing and the rates proposed in the Joint Proposal is that the rates in the JP will go into effect later, as the months of settlement negotiations have delayed this increase. This is not an insignificant reprieve from the high rates. However, this reprieve is made less meaningful by the additional double digit bill increases proposed for the second and third years covered by the proposal, which were not included in the Companies' initial filing, and the high return on equity during the entire term of the agreement. On balance, it is hard to see how this Joint Proposal benefits customers in comparison to a litigated outcome, which would have set rates and a return on equity for only one year.

Through this Joint Proposal, the Public Service Commission ("Commission") is being asked to approve nearly $5 billion in gas capital investments over three years.[4] Of the gas capital investments, nearly $500 million is allocated to hooking up new customers to the gas system and then reinforcing the system to allow more gas to flow through it to serve all those new customers.[5] $1.3 billion is allocated for three years of replacing leak prone pipe[6], extending the life of the gas system for decades, and risking stranded assets. $255 million is to repair and continue operations of the Greenpoint Energy Center,[7] a liquified fracked gas facility that is rarely utilized and which has a capacity far greater than has been needed in ten years.[8]

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[4] See, Summary of Joint Proposal, Case 23-G-0226, pp 2. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={B073C48E-0000-C129-BB4B-E310D1A7F501}

[5] See, JP at Appendix 1, Schedule 4 pp 1, and Appendix 2 Schedule 4 pp 1.
This number was calculated by summing all "customer connections" line items in both of the Companies' Capital Investment Plan tables for years 2024-2026. The exact total comes to $491,362,000.

[6] See, JP at Appendix 1, Schedule 4 pp 1, and Appendix 2 Schedule 4 pp 1.
This number was calculated by summing all "Main Replacement - Proactive - Leak Prone Pipe" line items in both of the Companies' Capital Investment Plan tables for years 2024-2026. The exact total comes to $1,332,751,000.

[7] See, JP at Appendix 1, Schedule 4 pp 2, and Appendix 2 Schedule 4 pp 1-2.
This number was calculated by summing all "LNG" line items in both of the Companies' Capital Investment Plan tables for years 2024-2026.

[8] See, Direct Testimony of Mark D. Kleinginna on Behalf of Alliance for a Green Economy, Cases 23-G-0225 and 23-G-0226, September 1, 2023, pp 24. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={C0097589-0000-C51C-8C6B-029CD09F40EC}

While the price tag for this Joint Proposal is high, these gas infrastructure investments are not an anomaly. Over and over, the Commission has approved Joint Proposals that fund ever-increasing gas investments based on growing gas demand forecasts and safety needs, despite the increasing price tag and the obvious contradiction to the greenhouse gas reduction mandates in the Climate Act.

We have waited for 5 years since the Climate Law was passed in June 2019 for the Commission to require gas utilities to change course, and we are still waiting.

The Climate Act, passed in 2019, requires economy-wide 40% greenhouse gas emissions reductions from 1990 levels by 2030 and 85% reductions by 2050. It has been obvious to anyone with a calculator and a basic understanding of math that achieving this goal is not possible without dramatic reductions in the burning of fossil fuels used in buildings in New York. In its May 12, 2022 Gas Planning Order, the Commission stated that "While the CLCPA does not impose specific requirements on the State's gas distribution system, rationally, meeting the CLCPA's emissions reductions targets for the entire economy will require emissions reductions from the gas distribution system."[9] The Commission's recent order in the Con Edison rate case references the Climate Action Council's Final Scoping Plan and notes the following:

> "The Final Scoping Plan states, among other things, that 'achievement of the emission limits will entail a substantial reduction of fossil natural gas use and a strategic downsizing and decarbonization of the gas system' that will require coordination among multiple sectors and include the buildout of local electric transmission and distribution systems to meet anticipated increases in demand for electricity, increases to demand

[9] See, Order Adopting Gas System Planning Process, Case 20-G-0310, May 12, 2022, pp 4. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={130B05B5-00B4-44CE-BBDF-B206A4528EE1}

reduction measures for fossil natural gas, and identification of strategic opportunities to retire existing pipelines as demand declines."[10]

Yet, Commission Orders have repeatedly determined that it is consistent with the Climate Act to approve rate case agreements that invest in pipes to accommodate *increased methane gas use in buildings*.

New York has wasted 5 years pouring customer money into the wrong direction in the utility gas sector, about half of the time allotted for achieving the 2030 greenhouse gas emissions mandates. Now we must do in five years what was already going to be difficult to do in ten. Yet, the Joint Proposal does not chart a new course that would make it possible to achieve the 2030 emissions mandates. Instead, it continues plodding along with extremely incremental changes to the utilities' operations that will not meaningfully bring down emissions in line with the Climate Act. In fact, this Joint Proposal may not bring down emissions at all; there is no greenhouse gas analysis included.

We can anticipate the arguments that signatories to the Joint Proposal will make to defend the lackluster climate provisions in their agreement. They will claim that steps in the right direction are being made and that these steps are essentially consistent with what the Commission has approved previously. They will make arguments about what the Climate Act does and doesn't say explicitly, and why more progress is difficult due to the "competing" need to keep the gas system safe and reliable.

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[10] See, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, Cases 22-E-0064 and 22-G-0065, July 20, 2023, pp 90. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={C0097589-0000-C51C-8C6B-029CD09F40EC}

We have heard all of the legal arguments before, each one designed to excuse the lack of meaningful change and backed up by previous Commission Orders pointing fingers to other agencies and other processes. But at the end of the day, what actually determines the trajectory of the climate crisis is how much we spend on fossil fuels versus alternatives and how many tons of greenhouse gas we are releasing into the atmosphere. No amount of legal parsing or passing the buck can cover up the lack of progress being made, how very far away we are from achieving the legal mandates in the Climate Act, and how little time we have left to turn things around.

We understand that achieving the mandates in the Climate Act are made harder by contradictory mandates in the Public Service Law, including the 100 foot rule (which mandates that Companies provide the first 100 feet of gas pipeline free of charge to new customers, thereby giving customers a subsidy, or financial incentive, to hook up to the gas system) and the obligation to provide gas service. However, this cannot excuse such little progress; just because these provisions of Public Service Law make it harder, they do not make it impossible. The climate crisis is perhaps humanity's greatest challenge, so it will require persistence and creativity.

Moreover, it is the Commission's legal responsibility to comply with our Climate Law, regardless of the difficulty. In the face of inaction by the legislature to harmonize the Public Service Law with the Climate Act, it is incumbent on the Commission to require the Staff and utilities to find ways to comply with *all* legal mandates, including the greenhouse gas emissions reductions required by the Climate Act. The Commission itself has acknowledged that rate case approvals are subject to Section 7 of the Climate Act. Yet, the Commission has not treated the emissions mandates or the mandates to reduce burdens in disadvantaged communities with the same priority that it treats the mandate to provide safe and reliable service. There are multiple

ways that National Grid could be making more progress during the term of the Joint Proposal. More investments in energy efficiency, weatherization, and electrification could be required, calibrated to reduce gas demand in alignment with the Scoping Plan. Energy efficiency and weatherization in particular provide affordability benefits for the distribution system's end users (ie. customers, many of whom are in desperate need of bill relief) and for the system as a whole. More thermal energy network projects could be proposed to avoid gas infrastructure investments in constrained areas. More stringent requirements for promoting and executing non-pipe alternatives could be put in place, with financial accountability attached to creating the economic incentives and disincentives necessary to change utility behavior.

We are aware that these remedies would cost money, and that low-income customers are already straining under high utility bills. But here, too, solutions are available. For example, a better funded and more accessible energy affordability program and rate designs that incentivize conservation and puts customers more in control over their energy bills are both feasible and achievable. They simply have not been prioritized. And yet, this Joint Proposal requests no major changes to the energy affordability program and continues declining block rate energy pricing, to the benefit of high volume energy users and the detriment of low volume energy users, many of which are low-income customers.

Ultimately, this Joint Proposal, like most that have come before it, reflects the failure of the parties to break with business-as-usual enough to pursue solutions that truly balance the need for affordable essential energy services and the need to stabilize our climate.

We need the Commission to step in and provide clear requirements for our monopoly utilities to meet emissions targets and a clear directive to Staff to seek deeper, more creative

solutions in rate cases. The fact that many of the issues we raise here are being considered in other proceedings cannot be a reason not to act boldly in rate case proceedings because, ultimately, rate cases are where the rubber meets the road. Rate cases are where we can see whether the generic proceedings are having an impact on gas utility forecasts, on affordability, on infrastructure investments. What we see to date is that despite the New Efficiency New York proceeding, the Energy Affordability Program proceeding, the Long-Term Gas Planning proceeding, the Reforming the Energy Vision proceeding, etc, rate cases continue to provide the budget for massive gas infrastructure investments and the growth of methane gas use and combustion in New York, thereby fueling the climate crisis.

For all of the reasons stated above, we urge the Commission to reject the Joint Proposal, to set one year of rates, and to require the utilities and staff to come back in future rate cases with budgets that make the investments necessary to not only meet our energy needs, but our need to stabilize the climate.

Respectfully submitted,

/s/
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